

Group Supervision

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) every _UK Solvency II firm_ :

1. (a) that is a member of a group for which the _PRA_ is the _group supervisor_ ;

2. (b) that is a member of a group for which a supervisory authority (other than the _PRA_) is the _group supervisor_ , subject to (c) and to the extent this Part gives effect to the Solvency II EEA implementing measures in the territory of its _group supervisor_ ; and

3. (c) where the _group supervisor_ of a group of which a _firm_ is a member is a supervisory authority in Gibraltar, the requirements of the Solvency II EEA implementing measures in that territory apply to the _firm_ in relation to its capacity as a member of that group;

2. (2) in accordance with Insurance General Application 3, the _Society_ as a _mixed activity insurance holding company_ , as modified by 21; and

3. (3) a _UK holding company_.

1.2

In this Part, the following definitions shall apply:

means a situation in which two or more persons are linked by control or participation, or a situation in which two or more persons are permanently linked to one and the same person by a control relationship.

[Note: Art. 13(17) of the Solvency II Directive]

consolidated group SCR

means the group SCR of a group based on consolidated data calculated in accordance with 11.2.

external group end user

means a person who receives services and who is outside of the group of which the firm is a member.

group internal model

means an internal model used to calculate the consolidated group SCR, as well as the SCR of Solvency II undertakings in the group.

group specific parameter

means, for the purposes of determining the group SCR using the standard formula, a parameter specific to a group,

calculated in accordance with Group Supervision 11A, that replaces a standard parameter (within a subset of parameters in the life underwriting risk module, non-life underwriting risk module or health underwriting risk module).

GSP firm

means a firm that has been granted a GSP Permission.

GSP method

means the method for calculating the group specific parameter in respect of which the firm has been granted a GSP Permission, determined in accordance with 11A.

GSP Permission

means the permission to apply a group specific parameter granted to a firm by the PRA pursuant to section 138BA of FSMA.

impact tolerance

means the maximum tolerable level of disruption to an important business service or an important group business service as measured by a length of time in addition to any other relevant metrics.

important business service

means a service provided by a firm, or by another person on behalf of the firm, to another person which, if disrupted, could pose a risk to:

1. (1) where the firm is a relevant Solvency II firm, the stability of the UK financial system;
2. (2) the firm's safety and soundness; or
3. (3) an appropriate degree of protection for those who are or who may become the firm's policyholders.

important group business service

means a service provided by a member of the firm's group (other than the firm) to an external group end user which, if disrupted, could pose a risk to:

1. (1) where a relevant Solvency II firm is a member of the group, the stability of the UK financial system;
2. (2) the firm's safety and soundness; or
3. (3) an appropriate degree of protection for those who are or may become the firm's policyholders.

intermediate holding company

means an insurance holding company or a mixed financial holding company through which a Solvency II undertaking in a group holds a participation in a related Solvency II undertaking, a third country insurance undertaking or a third country reinsurance undertaking.

investment firm

has the meaning given in section 424A of FSMA.

mixed activity insurance holding company

means a parent undertaking, other than a Solvency II undertaking, a third-country insurance undertaking, a third-country reinsurance undertaking, an insurance holding company or a mixed financial holding company, the subsidiary undertakings of which include at least one Solvency II undertaking.

[Note: Art. 212(1)(g) of the Solvency II Directive]

own funds eligible for the group SCR

means:

1. (1) in relation to method 1, the own funds eligible for the group SCR in accordance with 11.1(3); and
2. (2) in relation to method 2, the aggregate eligible own funds of the group referred to in 12.2.

own funds eligible for the SCR

means the aggregate of the firm's:

1. (a) Tier 1 own funds; and
2. (b) eligible Tier 2 own funds; and
3. (c) eligible Tier 3 own funds.

Part 9C rules

has the meaning given in section 143F(1) of FSMA.

participating Solvency II undertaking

means a Solvency II undertaking that holds a participation in another undertaking.

relevant Solvency II firm

means a firm which fulfils any of the following conditions:

1. (1) the firm's annual gross written premium income exceeds £15 billion; or
2. (2) the total of the firm's technical provisions, gross of the amounts recoverable from reinsurance contracts and UK ISPVs, as referred to in Technical Provisions 2.1 to 2.3 exceeds £75 billion,

determined on the basis of the average annual amount assessed across a rolling period of three years, assessed by reference to the firm's accounting reference date; and where the firm has been in existence for less than three years, the assessment will be made on the basis of the annual average amount for the period during which the firm has existed (calculated by reference to the firm's accounting reference date).

related Solvency II undertaking

means a Solvency II undertaking that is a related undertaking of another undertaking.

Solvency II EEA implementing measures

means any measures implementing the Solvency II Directive in Gibraltar.

solvency deficit

means the amount (if any) by which the related undertaking's eligible own funds fall short of its solvency capital requirement under the SCR Rules or the relevant Solvency II EEA implementing measures as appropriate.

supervisory authority

means the national authorities empowered by law or regulation of the UK or Gibraltar to supervise Solvency II undertakings for the purposes of the provisions implementing the Solvency II Directive including the PRA, FCA and Financial Services Commission of Gibraltar (FSC).

third country

means a territory or country other than the United Kingdom or Gibraltar.

third country insurance undertaking

means an undertaking, other than a Gibraltarian insurance undertaking, that has its head office outside the UK and if its head office were situated in the UK would:

1. (1) need Part 4A permission; and
2. (2) satisfy the conditions set out in Insurance General Application 2.2.

third country reinsurance undertaking

means an undertaking, other than a Gibraltarian insurance undertaking that pursues only the business of reinsurance and has its head office outside the UK and if its head office were situated in the UK would:

1. (1) need Part 4A permission; and
2. (2) satisfy the conditions set out in Insurance General Application 2.2.

2

Cases of Application and Scope of Group Supervision

2.1

This Part applies at the level of the group to types of groups where:

1. (1) either:
 1. (a) a _UK Solvency II firm_ is a _participating undertaking_ in at least one other _Solvency II undertaking_ , third country insurance undertaking or third country reinsurance undertaking; or
 2. (b) a _Solvency II undertaking_ (other than a __UK Solvency II firm__) is a _participating undertaking_ in a __UK Solvency II firm__ ; or
2. (2) the _parent undertaking_ of a _UK Solvency II firm_ is an _insurance holding company_ or a _mixed financial holding company_ which has its head office in the _UK_ or Gibraltar; or
3. (3) the _parent undertaking_ of a _UK Solvency II firm_ is an _insurance holding company_ or a _mixed financial holding company_ which does not have its head office in the _UK_ or Gibraltar or is a third country insurance undertaking or a third country reinsurance undertaking; or
4. (4) the _parent undertaking_ of a _UK Solvency II firm_ is a _mixed activity insurance holding company_.

[Note: Art. 213(2) of the _Solvency II Directive_]

2.2

Where, in accordance with 2.1, this Part applies at the level of a group, that group consists of all _undertakings_ within the relevant group, subject to 2.3 and 3 and provided that:

1. (1) where 2.1(1) applies, the definition of a group must be applied to the _participating Solvency II undertaking_ , its _subsidiary undertakings_ , the _undertakings_ in which it holds a _participation_ and _undertakings_ to which it is linked by a _common management relationship_ or, where applicable, to the _undertakings_ in a _mutual-type group_ ;
2. (2) where 2.1(2) applies, the definition of a group must be applied to the _insurance holding company_ or _mixed financial holding company_ , its _subsidiary undertakings_ , the _undertakings_ in which it holds a _participation_ and _undertakings_ to which it is linked by a _common management relationship_ or, where applicable, to the

undertakings in a _mutual-type group_ ;

3. (3) where 2.1(3) applies, the definition of a group must be applied to the _insurance holding company_ or _mixed financial holding company_ , third country insurance undertaking or third country reinsurance undertaking (as applicable), its _subsidiary undertakings_ , the _undertakings_ in which it holds a _participation_ and _undertakings_ to which it is linked by a _common management relationship_ or, where applicable, to the _undertakings_ in a _mutual-type group_ ; and

4. (4) where 2.1(4) applies, the definition of a group must be applied to the _mixed activity insurance holding company_ , its _subsidiary undertakings_ , the _undertakings_ in which it holds a _participation_ and _undertakings_ to which it is linked by a _common management relationship_ or, where applicable, to the _undertakings_ in a _mutual-type group_ .

[Note:** Art. 213(2) of the _Solvency II Directive_]

2.3

Where the _PRA_ has granted a _waiver_ or where a supervisory authority which is the _group supervisor_ has decided, in accordance with _Solvency II EEA implementing measures_ implementing Article 214 of the _Solvency II Directive_ , not to include an _undertaking_ in the group supervision referred to in 2.1:

1. (1) that _undertaking_ must be excluded from the group for the purposes of 2.1; and

2. (2) if that _undertaking_ is a _firm_ and is excluded because:

1. (a) it is of negligible interest with respect to the objectives of group supervision; or

2. (b) its inclusion would be inappropriate or misleading with respect to the objectives of group supervision,

the _firm_ which is at the head of the group of which that _firm_ would otherwise be a part, or any other _firm_ which is a member of the group must provide any information in relation to the excluded _firm_ that the _PRA_ may require to facilitate the supervision of the excluded _firm_ .

[Note: Art. 214(2) of the _Solvency II Directive_]

2.4

The provisions of the Solvency II Firms Sector concerning the supervision of _firms_ (or the Solvency II EEA implementing measures in relation to _Solvency II undertakings_ which are members of a group for which the _PRA_ is the _group supervisor_) taken individually continue to apply to those _undertakings_ , except where otherwise provided under this Part.

[Note: Art. 213(1) of the _Solvency II Directive_]

3

Levels

3.1

If the _participating Solvency II undertaking_ or the _insurance holding company_ or _mixed financial holding company_ referred to in 2.1(1) or 2.1(2) is itself a _subsidiary undertaking_ of another _Solvency II undertaking_ or of another _insurance holding company_ or _mixed financial holding company_ which has its head office in the _UK_ or Gibraltar, then 4 to 19 apply only at the level of the ultimate _Solvency II undertaking_ , _insurance holding company_ , or _mixed financial holding company_ in the group which has its head office in the _UK_ or Gibraltar.

[Note: Art. 215(1) of the _Solvency II Directive_]

3.2

If the _PRA_ is not the group supervisor and makes a decision to undertake group supervision at national level then 4 to 19 apply with any necessary changes, subject to group supervision of the ultimate parent undertaking at national level being restricted to those remaining rules of 4 to 19 if the firm is granted a waiver of such other sections as would otherwise apply to a group.

1. (1) [deleted]

2. (2) [deleted]

4

Group Solvency: General Provisions

4.1

Where 2.1(1) applies, each _participating Solvency II undertaking_ that is a _firm_ in the group and each _relevant insurance group undertaking_ must ensure that _eligible own funds_ are available in the group which are always at least equal to the _group SCR_ as calculated in accordance with 7 to 12.

[Note: Art. 218(2) of the _Solvency II Directive_]

4.2

Where 2.1(2) applies, each _relevant insurance group undertaking_ must ensure that _eligible own funds_ are available in the group which are always at least equal to the _group SCR_ as calculated in accordance with 14.

[Note: Art. 218(3) of the _Solvency II Directive_]

4.3

Relevant insurance group undertakings must have procedures in place to identify deteriorating financial conditions within the groups of which they are members and must immediately notify the _group supervisor_ when that deterioration occurs.

[Note: Art. 218(4) and Art. 136 of the _Solvency II Directive_]

4.4

Relevant insurance group undertakings must:

1. (1) immediately inform the PRA as soon as they observe that the group SCR is no longer complied with, or where there is a risk of non-compliance within the next three months;
2. (2) within two months from the observation of non-compliance with the group SCR, submit a realistic recovery plan in accordance with Undertakings In Difficulty 5.1 for approval by the PRA;
3. (3) take the measures necessary to achieve, within six months (or such longer period as the group is permitted by the PRA pursuant to section 138A or 138BA of FSMA as the case may be) from the observation of non-compliance with the group SCR, the re-establishment of the level of eligible own funds covering the group SCR or the reduction of the risk profile to ensure compliance with the group SCR; and

4. (4)

1. (a) [deleted]

2. (b) [deleted]

if the PRA has extended the period referred to in (3) by reason of the declaration by the PRA of an exceptional adverse situation affecting the group, submit a progress report to the PRA every three months setting out the measures taken and the progress made to re-establish the level of own funds covering the group SCR or to reduce the risk profile to

ensure compliance with the group SCR.

4.5

Special purpose vehicles, to which the participating undertaking or one of its subsidiaries has transferred risk shall be excluded from the calculation of group solvency in any of the following situations:

1. (1) in the case of a UK ISPV, it complies with the requirements set out in Insurance Special Purpose Vehicles 2, 2A to 2D, and 5A.1 to 5A.4; and
2. (2) in the case of a special purpose vehicle in Gibraltar or a third country, it is regulated by a supervisory authority in Gibraltar or a third country, and complies with requirements equivalent to those set out in Insurance Special Purpose Vehicles 2, 2A to 2D, and 5A.1 to 5A.4.

For the purposes of this rule, Insurance Special Purpose Vehicles 2, 2A to 2D, and 5A.1 to 5A.4 shall apply at the level of the group.

5

Group Solvency: Frequency of Calculations

5.1

The calculations referred to in 4.1 and 4.2 must be carried out at least annually by the _relevant insurance group undertakings_.

[Note: Art. 219(1) of the _Solvency II Directive_]

5.2

The relevant data for, and the results of, the calculations referred to in 4.1 and 4.2 must be submitted to the _group supervisor_ by:

1. (1) the _participating Solvency II undertakings_ referred to in 4.1, or by any one of them, in the case of the calculations referred to in 4.1; or
2. (2) the _UK holding company_ in the case of the calculations referred to in 4.2.
3. (3) [Deleted]

5.2A

Where there is evidence to suggest that the risk profile of the group has altered significantly since the date on which the group SCR was last reported, relevant insurance group undertakings must be able to, upon request by the group supervisor, recalculate the group SCR without delay and report it to the group supervisor.

5.3

1. (1) The relevant insurance group undertakings must monitor the group SCR on an ongoing basis.
2. (2) Where the risk profile of the group deviates significantly from the assumptions underlying the last reported group SCR, the group SCR must be recalculated without delay and reported to the group supervisor.
3. (3) [Deleted]

[Note: Art. 219(2) of the Solvency II Directive]

5.4

Where there is evidence to suggest that the risk profile of the group has altered significantly since the date on which the group SCR was last reported, relevant insurance group undertakings must be able to, upon request by the group supervisor, recalculate the group SCR without delay and report it to the group supervisor.

6

Group Solvency: Notification of Issuance of Own Funds Items by Group Member

6.1

1. (1) This Chapter applies to a _firm_ if another member of its group which is not subject to Own Funds 5 intends to issue an item for inclusion within the _basic own funds_ forming the _own funds eligible for the group SCR_ of the _firm?s_ group.
2. (2) This Chapter does not apply in respect of the following:
 1. (a) any item which a _firm_ intends to include within the _basic own funds_ forming the _own funds eligible for the group SCR_ of the _firm?s_ group that is not covered by the lists of _own funds_ items set out in the own funds lists, but which may be included in the _basic own funds_ forming the _own funds eligible for the group SCR_ only if the _firm_ has received a classification of own funds permission; and
 2. (b) any item which a _firm_ intends to include within the _ancillary own funds_ forming the _own funds eligible for the group SCR_ of the _firm?s_ group.

6.2

1. (1) Subject to 6.5, a _firm_ must notify the _PRA_ in writing of the intention of another member of its group which is not subject to Own Funds 5 to issue an item which it intends to include within the _basic own funds_ forming the _own funds eligible for the group SCR_, as soon as it becomes aware of the intention of the issuing _undertaking_.
2. (2) When giving notice, a _firm_ must:
 1. (a) provide details of the amount of _basic own funds_ to be raised through the intended issue and whether the item is intended to be issued to external investors or within its group;
 2. (b) identify the classification of _basic own funds_ the item is intended to fall within;
 3. (c) provide a copy of the draft terms and conditions;
 4. (d) describe the proposed item?s contribution to _own funds eligible for the group SCR_;
 5. (e) describe the group?s membership and structure, including the relationship between the _firm_ and the group member issuing the proposed item;
 6. (f) provide a draft of a properly reasoned independent legal opinion from an appropriately qualified individual confirming that the item complies with the rules applicable to items of _basic own funds_ included in the classification of the item identified in (b);
 7. (g) for any item referred to in Own Funds 4A.3(1), provide a draft of a properly reasoned independent accounting opinion from an appropriately qualified individual as to the item?s treatment in the financial statements of the group member issuing the proposed item and of the group;
 8. (h) include confirmation from the _governing body_ of the _firm_ that the item complies with the rules applicable to items of _basic own funds_ included in the classification of the item identified in (b); and
 9. (i) state whether the item is encumbered or whether there are any connected transactions in respect of the item and, if so, provide details.

6.3

If after an initial notification under 6.2, but prior to an item?s issuance, a _firm_ proposes to change the information previously submitted, it must provide a further written notification of that change without delay.

6.4

If an _undertaking_ proposes to establish or amend a debt securities programme for the issue of an item which the _firm_ intends to include within the _basic own funds_ forming the _own funds eligible for the group SCR_, the _firm_ must:

1. (1) notify the _PRA_ of the establishment of the programme or of the proposed amendment to the programme; and
2. (2) provide the information required by 6.2

as soon it becomes aware of the proposed establishment or amendment. The _PRA_ must be notified of any changes in accordance with 6.3.

6.5

6.2 does not apply to:

1. (1) ordinary _shares_ issued by an _undertaking_ in the group which:
 1. (a) meet the classification criteria for ordinary _share_ capital in _Tier 1 own funds_; and
 2. (b) are the same as ordinary _shares_ previously issued by that _undertaking_;
2. (2) debt instruments issued from a debt securities programme established by an _undertaking_ in the group, provided that:
 1. (a) the establishment of (and any subsequent amendment to) the programme was notified to the _PRA_ in accordance with 6.4 and the last such notification was given to the _PRA_ no more than 12 months prior to the date of the proposed drawdown;
 3. 1. (b) the programme complies with, and the information previously notified to the _PRA_ in accordance with 6.4 in relation to the programme is unaffected by, any changes in law or regulation, or the interpretation or application of either, coming into effect since the last notification in accordance with 6.4; and
 2. (c) any instrument issued pursuant to the programme must, under the terms of the programme, constitute _basic own funds_; and
4. (3) any item which is to be issued on identical terms to one or more items included in the _basic own funds_ forming the _own funds eligible for the group SCR_ issued by the _undertaking_ in the group within the previous 12 months and notified to the _PRA_ in accordance with 6.2, excluding (1) the issue date, (2) the maturity date, (3) the amount of the issuance, (4) the currency of the issuance, and (5) the rate of interest payable by the issuer.

6.6

A _firm_ must notify the _PRA_ in writing, no later than the date of issue, of the intention of the _undertaking_ in the group to issue an item listed in 6.5 which it intends to include within the _basic own funds_ forming the _own funds eligible for the group SCR_. When giving notice, a _firm_ must:

1. (1) provide the information set out in 6.2(2) other than 6.2(2)(c) (draft terms and conditions), 6.2(2)(f) (draft legal opinion) and 6.2(2)(g) (draft accounting opinion); and
2. (2) for the issue of an item pursuant to 6.5(1) or 6.5(3), confirm that the terms of the item have not changed since the previous issue of that type of item of _basic own funds_ by that _undertaking_.

6.7

A _firm_ must notify the _PRA_ in writing of the intention of an _undertaking_ in the group to amend or otherwise vary the terms of any item of _own funds eligible for the group SCR_ as soon as it becomes aware of the intention of the issuing _undertaking_ to amend or otherwise vary the terms of the item.

6.8

A _firm_ must provide to the _PRA_ as soon as practicable after it becomes aware of the issuance of an item of _basic own funds_ by an _undertaking_ in its group to which 6.2, 6.4, 6.5(2) or 6.5(3) applies:

1. (1) a finalised copy of the draft legal opinion referred to in 6.2(2)(f);
2. (2) a finalised copy of the draft accounting opinion referred to in 6.2(2)(g) if applicable;
3. (3) a copy of the instrument's final terms and conditions; and
4. (4) a reasoned basis for the choice of coupon structure and any other provision that might suggest an incentive to redeem.

7

Group Solvency: Basic Principles

7.1

The calculation of the solvency at the level of the group of the `_Solvency II undertakings_` referred to in 2.1(1) must be carried out:

1. (1) in accordance with the technical principles in 8 to 10; and
1. [Note: Art. 220(1) of the `_Solvency II Directive_`]
2. (2) in accordance with `_method 1_`, unless the `_group supervisor_` has determined under `_Solvency II EEA implementing measures_` implementing Article 220(2) of the `_Solvency II Directive_` or imposed a `_requirement_` that `_method 2_` or a combination of `_method 1_` and `_method 2_` must be applied.
1. [Note: Art. 220(2) of the `_Solvency II Directive_`]

8

Group Solvency: Proportional Shares

8.1

The calculation of the solvency of a group must take account of the proportional share held by the `_participating undertaking_` in its `_related undertakings_`.

[Note: Art. 221(1) of the `_Solvency II Directive_`]

8.2

For the purposes of 8.1, the proportional share must comprise either of the following, subject to 8.3:

1. (1) where `_method 1_` is used, the percentages used for the establishment of the consolidated accounts; or
2. (2) where `_method 2_` is used, the proportion of the subscribed capital that is held, directly or indirectly, by the `_participating undertaking_`.

[Note: Art. 221(1) of the `_Solvency II Directive_`]

8.3

Notwithstanding 8.2:

1. (1) where the `_related undertaking_` is a `_subsidiary undertaking_` and does not have sufficient `_eligible own funds_` to cover its `_SCR_`, the total `_solvency deficit_` of the `_subsidiary undertaking_` must be taken into account; and

[Note: Art. 221(1) of the `_Solvency II Directive_`]

1. (2) where any of the following applies:

1. (a) if there are no capital ties between any of the undertakings in the group, an undertaking in the group must be treated as if it is a participating undertaking that holds a proportional share of 100% of each other undertaking in the group for the purposes of 8.1;
2. (b) if a participating undertaking has a participation in another undertaking because it effectively exercises a significant influence over that undertaking, the proportional share that must be taken account for the purposes of 8.1 must be 100%; or
3. (c) if a participating undertaking is a parent undertaking of another undertaking because it effectively exercises a dominant influence over that undertaking, the proportional share that must be taken account for the purposes of 8.1 must be 100%.

[Note: Art. 221(2) of the _Solvency II Directive_]

8A

Classification of Own-fund Items of Related Solvency II Undertakings at Group Level

8A.1

Where an own funds item has been classified into one of the three tiers based on the criteria set out in Own Funds 3A ? 3J by a related Solvency II undertaking that is included in the calculation of the group solvency, the own funds item shall be classified in the same tier at group level provided that all of the following additional requirements are met:

1. (1) the Solvency II undertaking complies with the requirements set out in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5; and
2. (2) the own funds item is free from encumbrances and is not connected with any other transaction, which when considered with the own funds item, could result in that own funds item not satisfying the requirements set out in Own Funds 3.1 to 3.3 at group level.

8A.2

For the purposes of point (1) of 8A.1:

1. (1) the term ?SCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 shall mean both the SCR of the related undertaking that has issued the own funds item and the group SCR;
2. (2) the term ?MCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 shall mean both the MCR of the undertaking that has issued the own funds item and one of the following minimums:
 1. (a) where method 1 is used, the minimum for the group SCR as calculated in accordance with 11.3(2), or
 2. (b) where a combination of method 1 and method 2 is used, the minimum determined in accordance with 10.7.

8A.3

For the purposes of this Chapter, references to ?firm? in Own Funds 3A ? 3J in the context of the characteristics and features of an own funds item shall mean both the participating Solvency II undertakings and the Solvency II undertakings belonging to the group that has issued the own funds item.

8A.4

Notwithstanding 8A.1, where a related Solvency II undertaking has included in Tier 2 own funds an own funds item which would qualify for inclusion in Tier 1 own funds in accordance with Own Funds 3E.1(11), that classification shall not prohibit the classification of the same own funds item in Tier 1 own funds at group level, provided that the limits set out in Own Funds 4A.3 are complied with at group level.

8B

Classification of Own-fund Items of Related Third Country Insurance Undertaking or Third Country Reinsurance Undertakings at Group Level

8B.1

Where an own funds item has been issued by a related third country insurance undertaking or third country reinsurance undertaking, the participating undertaking shall classify the own funds item using the criteria for classification set out in Own Funds 3A ? 3J provided that all of the following additional requirements are met:

1. (1) the third country insurance undertaking or third country reinsurance undertaking complies with the requirements set out in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5; and
2. (2) the own funds item is free from encumbrances and is not connected with any other transaction, which when considered with the own funds item, could result in that own funds item not satisfying the requirements set out in Own Funds 3.1 to 3.3 at group level.

8B.2

For the purposes of point (1) of 8B.1:

1. (1) references to ?SCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 shall mean the group SCR;
2. (2) references to ?MCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 shall mean both the capital requirement, as laid down by the third country supervisory authority concerned, of the undertaking which has issued the own funds item and one of the following minimums:
 1. (a) where method 1 is used, the minimum for the group SCR as calculated in accordance with 11.3(2); or
 2. (b) where a combination of method 1 and method 2 is used, the minimum determined in accordance with 10.7.

8C

Classification of Own-fund Items of Insurance Holding Companies, Mixed Financial Holding Companies, and Ancillary Services Undertakings at Group Level

8C.1

Where an own funds item has been issued by an insurance holding company, a mixed financial holding company, an intermediate holding company or an ancillary services undertaking in the group, the own funds item must be classified using the criteria for classification set out in Own Funds 3A ? 3J provided that all of the following requirements are met:

1. (1) the undertaking complies with the requirements set out in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5;
2. (2) the own funds item is free from encumbrances and is not connected with any other transaction, which when considered with the own funds item, could result in that own funds item not satisfying the requirements set out in Own Funds 3.1 to 3.3 at group level.

8C.2

For the purposes of point (1) of 8C.1:

1. (1) the term ?SCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 shall mean the group SCR;
2. (2) the term ?MCR? in Own Funds 3B.1 ? 3B.13, 3E.1 ? 3E.5 and 3G.1 ? 3G.5 includes both non-compliance with the relevant minimum referred to in 8A.2(2) and the insolvency of the insurance holding company, mixed financial holding company, intermediate holding company or ancillary services undertaking.

8C.3

For the purposes of this Chapter, references to 'firm' in Own Funds 3A ? 3J in the context of the characteristics and features of an own funds item shall mean the insurance holding company, the mixed financial holding company, the intermediate holding company or the ancillary services undertaking which has issued the own funds item.

8D

Own Funds Items Free From Encumbrances

8D.1

For the purposes of 8A.1(2), 8B.1(2) and 8C.1(2), own funds items must not be considered to be free from encumbrances unless the claims relating to those own funds items rank after the claims of all policyholders of the Solvency II undertakings belonging to the group.

8E

Classification of Own-fund Items of Residual Related Undertakings

8E.1

The own funds items of related undertakings referred to in 11.1A(6) shall be considered as part of the reconciliation reserve at group level.

8E.2

Notwithstanding 8E.1, where practicable and where the own funds items referred to in 8D.1 materially affect the amount of group own funds or the group solvency, these own funds items must be classified into one of the three tiers based on the criteria set out in Own Funds 3A ? 3J.

9

Group Solvency: Elimination of Double Use of Eligible Own Funds and Intra-Group Creation of Capital and Valuation

9.1

'Own funds eligible for the SCR' must not be taken into account more than once among the different 'Solvency II undertakings' taken into account in the calculation of the solvency of a group. For that purpose, when calculating the solvency of a group and where 'method 1' and 'method 2' do not provide for it, the following amounts must be excluded:

1. (1) the value of any asset of the 'participating Solvency II undertaking' which represents the financing of 'own funds eligible for the SCR' of one of its 'related Solvency II undertakings' ;
2. (2) the value of any asset of a 'related Solvency II undertaking' of the 'participating Solvency II undertaking' which represents the financing of 'own funds eligible for the SCR' of that 'participating Solvency II undertaking' ; and
3. (3) the value of any asset of a 'related Solvency II undertaking' of the 'participating Solvency II undertaking' which represents the financing of 'own funds eligible for the SCR' of any other related 'Solvency II undertaking' of that 'participating Solvency II undertaking'.

9.2

Without prejudice to 9.1 or 9.3, the following must be excluded in the calculation of the solvency of a group unless they are, and only insofar as they are, eligible for covering the 'SCR' of the 'related undertaking' concerned:

1. (1) surplus funds falling under Surplus Funds 2.2 or _Solvency II EEA implementing measures_ implementing Article 91(2) of the Solvency II Directive arising in a _related Solvency II undertaking_ of the __participating Solvency II undertaking__ for which the solvency of a group is calculated; and
2. (2) any subscribed but not paid-up capital of a _related Solvency II undertaking_ of the __participating Solvency II undertaking__ for which the solvency of a group is calculated.

[Note: Art. 222(2) of the _Solvency II Directive_]

9.3

Without prejudice to 9.1, the following must, in any event, be excluded from the calculation:

1. (1) subscribed but not paid-up capital which represents a potential obligation on the part of the _participating undertaking_ ;
2. (2) subscribed but not paid-up capital of the __participating Solvency II undertaking__ which represents a potential obligation on the part of a _related Solvency II undertaking_ ; and
3. (3) subscribed but not paid-up capital of a _related Solvency II undertaking_ which represents a potential obligation on the part of another _related Solvency II undertaking_ of the same __participating Solvency II undertaking__.

9.4

Subject to 9.4A and 9.4B, where certain _own funds eligible for the SCR_ of a _related Solvency II undertaking_ (other than those referred to in 9.2 and 9.3) cannot effectively be made available to cover the _SCR_ of the __participating Solvency II undertaking__ for which the solvency of a group is calculated, those _own funds_ must not be included in the calculation of the group solvency of the group unless they are, and only in so far as they are, eligible for covering the _SCR_ of the _related undertaking_.

[Note: Art. 222(3) of the _Solvency II Directive_]

9.4A

The following items of a related undertaking that is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, insurance holding company or mixed financial holding company shall be assumed not to be effectively available to cover the group SCR:

1. (1) ancillary own funds;
2. (2) preference shares, subordinated mutual members account and subordinated liabilities;
3. (3) an amount equal to the value of net deferred tax assets; for this purpose, the amount of deferred tax asset may be reduced by the amount of the associated deferred tax liability provided that those deferred tax assets and associated deferred tax liabilities both arise from the tax law of the UK, Gibraltar or third country and the taxation authority of the UK, Gibraltar or that third country permits such offsetting.

9.4B

The following items of a related undertaking that is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, insurance holding company or mixed financial holding company shall in any case not be considered as effectively available to cover the group SCR:

1. (1) any minority interest in a subsidiary exceeding the contribution of that subsidiary to the group SCR, where the subsidiary is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, an insurance holding company or a mixed financial holding company;
2. (2) any minority interest in a subsidiary ancillary services undertaking;
3. (3) any restricted own funds within a ring-fenced fund.

9.4C

Where an own funds item of a related undertaking that is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, insurance holding company or mixed financial holding company cannot effectively be made available to cover the group SCR, this own funds item may only be included in the calculation of group solvency up to the contribution of that related undertaking that is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, insurance holding company or mixed financial holding company to the group SCR.

9.4D

Where a related undertaking that is a Solvency II undertaking, third country insurance undertaking or third country reinsurance undertaking, insurance holding company or mixed financial holding company is included in the consolidated data pursuant to points (1) or (3) of 11.1A, its contribution to the consolidated group SCR shall reflect diversification effects and be calculated as follows:

1. (1) where the consolidated group SCR is calculated, in relation to that related undertaking, on the basis of the standard formula, the proportional share of the SCR of that related undertaking multiplied by a percentage corresponding to the proportion that the diversified component of the consolidated group SCR, as laid down in 11.2A(1), bears to the sum of the SCR of each of the undertakings included in the calculation of that diversified component of the consolidated group SCR;
2. (2) where the consolidated group SCR is calculated, in relation to that related undertaking, on the basis of an internal model, the SCR of that related undertaking multiplied by a percentage corresponding to the proportion of the diversification effects at group level that are attributed to that related undertaking, determined by that internal model.

9.4E

In each of 9.4D(1) and (2), the sum of the percentages referred to for all the related undertakings that are Solvency II undertakings, insurance holding companies or mixed financial holding companies included in the consolidated calculation must equal 100%.

9.5

The sum of the _own funds_ included under 9.2 and 9.4 must not exceed the _SCR_ of the _related Solvency II undertaking_.

[Note: Art. 222(4) of the _Solvency II Directive_]

9.6

Any eligible own funds of a related Solvency II undertaking of the participating Solvency II undertaking for which the solvency of a group is calculated that are subject to permission from the supervisory authority of the related Solvency II undertaking, by an ancillary own funds permission or in accordance with Solvency II EEA implementing measures implementing Article 90 of the Solvency II Directive, must be included in the calculation of the group solvency only in so far as they have been duly authorised by that supervisory authority.

[Note: Art. 222(5) of the _Solvency II Directive_]

9.7

When calculating the solvency of a group, no account must be taken of any _own funds eligible for the SCR_ arising out of reciprocal financing between the __participating Solvency II undertaking__ and any of the following:

1. (1) a _related undertaking_ ;
2. (2) a _participating undertaking_ ; and

3. (3) another _related undertaking_ of any of its _participating undertakings_.

[Note: Art. 223(1) of the _Solvency II Directive_]

9.8

When calculating the solvency of a group, no account must be taken of any _own funds eligible for the SCR_ of a _related Solvency II undertaking_ of the __participating Solvency II undertaking__ for which the group solvency of the group is calculated where the _own funds_ concerned arise out of reciprocal financing with any other _related undertaking_ of that __participating Solvency II undertaking__. Reciprocal financing exists at least where a _Solvency II undertaking_ , or any of its _related undertakings_ , holds shares in, or makes loans to, another _undertaking_ which, directly or indirectly, holds _eligible own funds_ of the first _undertaking_.

[Note: Art. 223(2), (3) of the _Solvency II Directive_]

9.9

The value of the assets and liabilities of a group must be assessed in accordance with Valuation 2.

[Note: Art. 224 of the _Solvency II Directive_]

10

Group Solvency: Application of the Calculation Methods

10.1

Where a _Solvency II undertaking_ has more than one _related Solvency II undertaking_ , the group solvency calculation of the group must be carried out by including each of those _related Solvency II undertakings_.

[Note: Art. 225 of the _Solvency II Directive_]

10.1A

Unless the book value of the relevant related undertaking has been deducted from the own funds eligible for the group SCR pursuant to 10.6, the calculation of the group solvency shall include all of the following:

1. (1) the capital requirements for related undertakings which are credit institutions, investment firms or financial institutions and the own funds items of those undertakings calculated in accordance with Part 9C rules, the CRR, the PRA Rulebook or technical standards, as amended from time to time;
2. (2) the capital requirements for related undertakings which are institutions for occupational retirement provision and the own funds items of those undertakings calculated according to the Occupational Pension Schemes (Regulatory Own Funds) Regulations 2005 or the Occupational Pension Schemes (Regulatory Own Funds) Regulations (Northern Ireland) 2005, as amended from time to time;
3. (3) the capital requirements for related undertakings which are UCITS management companies and the own funds of those undertakings calculated in accordance with the FCA Handbook, as amended from time to time;
4. (4) the capital requirements for related undertakings which are alternative investment fund managers and the own funds of those undertakings calculated in accordance with the FCA Handbook, as amended from time to time; and
5. (5) the notional capital requirements and the own funds items of related undertakings which are non-regulated undertakings carrying out financial activities, where the notional capital requirement is the capital requirement with which the related undertaking would have to comply under the relevant sector rules if the undertaking were a regulated entity.

10.2

In respect of a _related Solvency II undertaking_ with its head office in Gibraltar, the group solvency calculation must take account of the _SCR_ and the _own funds eligible for the SCR_ as laid down in the Solvency II EEA implementing measures of Gibraltar.

10.3

1. (1) When calculating the group solvency of a _Solvency II undertaking_ in a group, the situation of each _intermediate holding company_ must be taken into account.
2. (2) For the sole purpose of that calculation, the _intermediate holding company_ must be treated as if it were a _Solvency II undertaking_ subject to the _SCR Rules_ in respect of the _SCR_ and were subject to the same conditions as are laid down in the Own Funds Part of the _PRA_ Rulebook in respect of _own funds eligible for the SCR_.
3. (3) In cases where an _intermediate holding company_ holds subordinated debt or other _eligible own funds_ subject to limitation in accordance with Own Funds 4 and 4A, they must be recognised as _eligible own funds_ up to the amounts calculated by application of the limits in Own Funds 4 and 4A to the total _eligible own funds_ outstanding at the level of the group as compared to the _group SCR_.
4. (4) Any _eligible own funds_ of an _intermediate holding company_ , which would require permission from a supervisory authority by an ancillary own funds permission or in accordance with _Solvency II EEA implementing measures_ implementing Article 90 of the _Solvency II Directive_ , must not be included in the calculation of the group solvency of the group unless a firm has permission from the supervisory authority to do so pursuant to section 138BA of FSMA or Solvency II EEA implementing measures implementing Article 90 of the Solvency II Directive, and only to the extent of its permission.

[Note: Art. 226 of the _Solvency II Directive_]

10.4

1. (1) Subject to (2), when calculating, in accordance with _method 2_ , the group solvency of a _Solvency II undertaking_ in a group which is a _participating undertaking_ in a third country insurance undertaking or __third country reinsurance undertaking __, that third country insurance undertaking or third country reinsurance undertaking must, solely for the purposes of that calculation, be treated as a _related Solvency II undertaking_.
2. (2) If the third country in which that third country insurance undertaking or third country reinsurance undertaking has its head office is an overseas jurisdiction designated under regulation 11 in relation to regulation 13 of the IRPR regulations in respect of the insurance group capital requirements calculation and paragraph (3) of regulation 13 of the IRPR regulations does not apply, the calculation in (1) must take into account, as regards that _undertaking_ , the requirement equivalent to the _SCR_ and the capital items eligible to satisfy that requirement as laid down by that third country.

[Note: Art. 227 of the _Solvency II Directive_]

10.5

When calculating the group solvency of a _Solvency II undertaking_ in a group which is a _participating undertaking_ in a _credit institution_ , _investment firm_ or _financial institution_ , the __participating Solvency II undertaking__ must either:

1. (1) apply _method 1_ or _method 2_ in Financial Conglomerates Annex 2 with any necessary changes, provided that _method 1_ in that Annex must be applied only where the _group supervisor_ is satisfied as to the level of integrated management and internal control regarding the _undertakings_ which would be included in the scope of consolidation and provided always that the method chosen must be applied in a consistent manner over time; or
2. (2) if the _group supervisor_ so determines (either at the request of the _participating undertaking_ or on its own initiative), deduct any such _participation_ from the _own funds eligible for the group SCR_ of the _participating

undertaking_.

[Note: Art. 228 of the _Solvency II Directive_]

10.6

Where the information necessary for calculating the group solvency of a _Solvency II undertaking_ in a group, concerning a _related undertaking_, is not available to the _group supervisor_ then:

1. (1) the book value of that _related undertaking_ in the __participating Solvency II undertaking__ must be deducted from the _own funds eligible for the group SCR_ ; and
2. (2) the unrealised gains connected with that _participation_ must not be recognised as _own funds eligible for the group SCR_.

[Note: Art. 229 of the _Solvency II Directive_]

10.7

Where the group applies a combination of method 1 and method 2, the consolidated group SCR calculated for the part of the group which is covered by method 1 shall have a minimum determined in accordance with the requirements set out in 11.3.

11

Calculation Methods: Method 1

11.1

1. (1) The calculation of the group solvency of the __participating Solvency II undertaking__ in a group must be carried out on the basis of the consolidated accounts.
2. (2) The group solvency of the __participating Solvency II undertaking__ in a group is the difference between the following:
 1. (a) the _own funds eligible for the group SCR_ , calculated on the basis of consolidated data; and
 2. (b) the _group SCR_ calculated on the basis of consolidated data.
3. (3) Own Funds and the _SCR Rules_ apply to the calculation of the _own funds eligible for the group SCR_ and of the _group SCR_ based on consolidated data.

[Note: Art. 230(1) of the _Solvency II Directive_]

11.1A

Consolidated data for the calculation of group solvency according to method 1 shall consist of all of the following:

1. (1) full consolidation of data of all the Solvency II undertakings, third country insurance undertaking or third country reinsurance undertakings, insurance holding companies, mixed financial holding companies and ancillary services undertakings which are subsidiaries of the parent undertaking;
2. (2) full consolidation of data of special purpose vehicles to which the participating undertaking or one of its subsidiaries has transferred risk and which are not excluded from the scope of the group solvency calculation pursuant to 4.5;
3. (3) proportional consolidation of data of the Solvency II undertakings, third country insurance undertaking or third country reinsurance undertakings, insurance holding companies, mixed financial holding companies and ancillary services undertakings managed by an undertaking referred to in point (1) together with one or more undertakings not included in point (1), where those undertakings' responsibility is limited to the share of the capital they hold;

4. (4) on the basis of the adjusted equity method in accordance with Valuation 9.3, data of all holdings in related undertakings that are Solvency II undertakings, third country insurance undertaking or third country reinsurance undertakings, insurance holding companies, mixed financial holding companies which are not subsidiaries of the parent undertaking and which are not covered by points (1) and (3);

5. (5) the proportional share of the own funds of related undertakings, calculated as follows:

1. (a) in relation to credit institutions, investment firms and financial institutions, in accordance with Part 9C rules, the CRR, the PRA Rulebook or technical standards, as amended from time to time;

2. (b) in relation to alternative investment fund managers, in accordance with the FCA Handbook, as amended from time to time;

3. (c) in relation to UCITS management companies, in accordance with the FCA Handbook, as amended from time to time;

4. (d) in relation to institutions for occupational retirement provision, in accordance with the Occupational Pension Schemes (Regulatory Own Funds) Regulations 2005 or the Occupational Pension Schemes (Regulatory Own Funds) Regulations (Northern Ireland) 2005, as amended from time to time; and

5. (e) according to the own funds items of non-regulated undertakings carrying out financial activities; and

6. (6) in accordance with Valuation 9.1 ? 9.6, data of all related undertakings, including ancillary services undertakings, collective investment undertakings and investments packaged as funds, other than those referred to in points (1) to (5) of this rule.

11.1B

Notwithstanding point (4) of 11.1A data of related undertakings linked by a common management relationship shall be included in accordance with points (1), (3), (4), (5) or (6) of 11.1A on the basis of the proportional share as referred to in Chapter 8.

11.1C

For the purposes of the calculation of the consolidated group own funds, the data referred to in 11.1A and 11.1B shall be net of any intra-group transaction.

11.1D

The consolidated best estimate of technical provisions on the basis of the consolidated data shall be equal to the sum of the following:

1. (1) the best estimate of the participating Solvency II undertakings calculated in accordance with the Valuation, Technical Provisions, Technical Provisions ? Further Requirements and Matching Adjustment Parts; and

2. (2) the proportional share referred to in 8.2(1) of the best estimate, calculated in accordance with the Valuation, Technical Provisions, Technical Provisions ? Further Requirements and Matching Adjustment Parts, of related undertakings that are Solvency II undertakings and third country insurance undertakings or third country reinsurance undertakings referred to in 11.1A(1) and (3).

11.1E

For the purposes of 11.1D the best estimates of the participating Solvency II undertaking and of each related undertaking that is a Solvency II undertaking, third country insurance undertaking and third country reinsurance undertaking shall be net of any intra-group transactions. In relation to intra-group reinsurance contracts all of the following adjustments shall be made:

1. (1) the best estimate of the undertaking that accepts risks shall not include the cash flows arising from the obligations of the intra-group reinsurance contracts;

2. (2) the undertaking that cedes the risk shall not recognise the amounts recoverable from the intra-group reinsurance

contracts.

11.1F

For the purposes of 11.1D, the participating Solvency II undertaking may restrict the documentation and the directory of data referred to in Conditions Governing Business 11C to the data used in the calculation of the adjustments of the best estimate referred to in 11.1E.

11.1G

The consolidated risk margin of technical provisions on the basis of the consolidated data shall be equal to the sum of the following:

1. (1) the risk margin of the participating Solvency II undertakings; and
2. (2) the proportional share, as referred to in 8.2(1), of the risk margin of the related undertakings that are Solvency II undertakings and third country insurance undertakings or third country reinsurance undertakings referred to in 11.1A(1) and (3).

11.2

The consolidated group SCR must be calculated on the basis of either the standard formula or an internal model for which internal model permission has been granted, in a manner consistent with the general principles contained in the SCR Rules

[Note: Art. 230(2) of the Solvency II Directive]

11.2A

The consolidated group SCR shall be calculated as the sum of the following:

1. (1) an SCR calculated on the basis of consolidated data as referred to in points (1) to (3) of 11.1A, data of collective investment undertakings and investments packaged as funds which are subsidiaries of the parent undertaking, following the rules laid down in the Solvency Capital Requirement - General Provisions, Solvency Capital Requirement ? Internal Models and Solvency Capital Requirement ? Standard Formula Parts;
2. (2) the proportional share of the SCR of each undertaking referred to in 11.1A(4); for a related undertaking that is a third country insurance undertaking or third country reinsurance undertaking which is not a subsidiary the SCR shall be calculated as if that undertaking had its head office in the UK;
3. (3) for undertakings referred to in 11.1A(5), the proportional share of the capital requirements of related undertakings, calculated as follows:
 1. (a) in relation to credit institutions, investment firms and financial institutions, in accordance with Part 9C rules, the CRR, the PRA Rulebook or technical standards, as amended from time to time;
 2. (b) in relation to alternative investment fund managers, in accordance with the FCA Handbook, as amended from time to time;
 3. (c) in relation to UCITS management companies, in accordance with the FCA Handbook, as amended from time to time;
 4. (d) in relation to institutions for occupational retirement provision, in accordance with the Occupational Pension Schemes (Regulatory Own Funds) Regulations 2005 or the Occupational Pension Schemes (Regulatory Own Funds) Regulations (Northern Ireland) 2005, as amended from time to time; and
 5. (e) in relation to non-regulated undertakings carrying out financial activities, according to the notional capital requirement which is the capital requirement with which the related undertaking would have to comply under the relevant sector rules if the undertaking were a regulated entity;
4. (4) for undertakings referred to in 11.1A(6), other than undertakings covered by point (5) of this rule, the amount

determined in accordance with Valuation 9 and Solvency Capital Requirement ? Standard Formula 3D7 \- 3D11, 3D26 ? 3D31 and 3D32; and

5. (5) for related collective investment undertakings or investments packaged as funds referred to in 11.1A(1)(6) which are not subsidiaries of the participating Solvency II undertakings, and to which the look-through approach is applied at solo level, the amount determined in accordance with the look-through approach.

11.2B

Where the consolidated group SCR is calculated, wholly or in part, on the basis of the standard formula, the local currency referred to in Solvency Capital Requirement ? Standard Formula 3D32.2 shall be the currency used for the preparation of the consolidated accounts.

11.2C

Notwithstanding 11.2B, where a material amount of the consolidated technical provisions or the consolidated group own funds is denominated in a currency other than the one used for the preparation of the consolidated accounts, that currency may be considered as the local currency referred to in Solvency Capital Requirement ? Standard Formula 3D32.1.

11.3

1. (1) The consolidated group SCR of a group must have as a minimum the sum of the following:

1. (a) the _MCR_ of the __participating Solvency II undertaking__ ; and

2. (b) the proportional share of the _MCR_ of the _related Solvency II undertakings_.

2. (2) That minimum must be covered by _eligible own funds_ within paragraph 2 of the definition of ? _eligible own funds_ ?.

3. (3) For the purposes of determining whether those _eligible own funds_ qualify to cover the minimum consolidated group SCR of a group, the principles in 8 to 10 apply with any necessary changes. Undertakings In Difficulty 3 also applies with any necessary changes.

[Note: Art. 230(2) of the _Solvency II Directive_]

11.4

Any application for permission to use a group internal model submitted by a _Solvency II undertaking_ and its _related undertakings_ , or jointly by the _related Solvency II undertakings_ of an _insurance holding company_ or a _mixed financial holding company_, must be submitted to the _group supervisor_.

[Note: Art. 231(1) of the _Solvency II Directive_]

11.5

Where an internal model is used to calculate the consolidated group SCR in accordance with 11.2, the requirements set out in Solvency Capital Requirement ? Internal Models 10 shall be complied with by all of the following undertakings:

1. (1) the participating undertaking which calculates the consolidated group SCR on the basis of the internal model;

2. (2) each related Solvency II undertaking whose business is fully or partly in the scope of the internal model, only in relation to the output of the internal model at group level; and

3. (3) each related undertaking that is an insurance holding company or a mixed financial holding company whose business is fully or partly in the scope of the internal model, only in relation to the output of the internal model at group level.

11.6

Where a group internal model is used, in addition to 11.5, the requirements set out in Solvency Capital Requirement ? Internal Models 10 shall be complied with by:

1. (1) each participating Solvency II undertaking in relation to the output of the internal model at the level of that undertaking; and
2. (2) each related Solvency II undertaking which calculates its SCR on the basis of the group internal model, at the level of the undertaking.

11.7

For the purposes of 11.5 and 11.6, a Solvency II undertaking or insurance holding company or mixed financial holding company shall only comply with the requirements set out in Solvency Capital Requirement ? Internal Models 10.8 and 10.9 in relation to the parts of the internal model which cover the risks of that undertaking and the risks of its related undertakings.

11A

Method 1: Group Specific Parameters

11A.1

A firm must not apply a group specific parameter unless it is a GSP firm.

11A.2

A GSP firm must not revert back to using the standard parameter in respect of which it has a GSP Permission.

11A.3

A GSP firm must calculate a group specific parameter by replacing a standard parameter set out in Solvency Capital Requirement ? Undertaking Specific Parameters 2.3 by the parameter specific to the group.

11A.4

Data used to calculate a group specific parameter must satisfy the criteria set out in Solvency Capital Requirement ? Undertaking Specific Parameters 3 at the level of the group.

11A.5

A GSP method used to calculate the group specific parameter in respect of which the GSP firm has a GSP Permission must correspond to the applicable USP method set out in Solvency Capital Requirement ? Undertaking Specific Parameter 2.3.

11A.6

For the purposes of this Chapter, the Solvency Capital Requirement ? Undertaking Specific Parameters Part must be read with the following modifications:

1. (1) a reference to ?undertaking specific parameter? is to be interpreted as a reference to ?group specific parameter?;
2. (2) a reference to ?USP firm? is to be interpreted as a reference to a ?GSP firm?;
3. (3) a reference to ?USP method? is to be interpreted as a reference to ?GSP method?; and
4. (4) a reference to ?USP Permission? is to be interpreted as a reference to ?GSP Permission?.

Calculation Methods: Method 2

12.1

The group solvency of the __participating Solvency II undertaking__ in a group is the difference between the following:

1. (1) the aggregated group _eligible own funds_ , as provided for in 12.2; and
2. (2) the value in the __participating Solvency II undertaking__ of the _related Solvency II undertakings_ and the aggregated _group SCR_ , as provided for in 12.3.

[Note: Art. 233(1) of the* ____ * _Solvency II Directive_]

12.2

The aggregated group _eligible own funds_ of a group is the sum of the following:

1. (1) the _own funds eligible for the SCR_ of the __participating Solvency II undertaking__ ; and
2. (2) the proportional share of the __participating Solvency II undertaking__ in the _own funds eligible for the SCR_ of the _related Solvency II undertakings_.

[Note: Art. 233(2) of the* ____ * _Solvency II Directive_]

12.3

The aggregated _group SCR_ of a group is the sum of the following:

1. (1) the _SCR_ of the __participating Solvency II undertaking__ ; and
2. (2) the proportional share of the _SCR_ of the _related Solvency II undertakings_.

[Note: Art. 233(3) of the _Solvency II Directive_]

12.4

Where, in a group, the _participation_ in the _related Solvency II undertaking_ consists, wholly or in part, of an indirect ownership, the value in the __participating Solvency II undertaking__ of the _related Solvency II undertaking_ must incorporate the value of that indirect ownership. The value of that indirect ownership must take into account the relevant successive interests, and the items referred to in 12.2(2) and 12.3(2) must include the corresponding proportional shares, respectively, of the _own funds eligible for the SCR_ of the _related Solvency II undertaking_ and of the _SCR_ of the _related Solvency II undertakings_.

[Note: Art. 233(4) of the _Solvency II Directive_]

12.5

Any application for permission to calculate the _SCR_ of _Solvency II undertakings_ in the group, on the basis of an _internal model_ , submitted by a _Solvency II undertaking_ and its _related undertakings_ , or jointly by the _related undertakings_ of an _insurance holding company_ or a _mixed financial holding company_ , must be submitted to the _group supervisor_.

[Note: Art. 233(5) of the _Solvency II Directive_]

12.6

The aggregated own funds eligible for the group SCR must be adjusted to eliminate the impact of an intra-group transaction where the impact of the intra-group transaction affects the best estimates of the Solvency II undertakings in

such way that the amount set out in 12.7 is different depending on whether the intra-group transaction is eliminated in the calculation of that amount or not.

12.7

The amount referred to in 12.6 shall be the sum of the following:

1. (1) the best estimate of the participating Solvency II undertakings calculated in accordance with the Valuation, Technical Provisions, Technical Provisions ? Further Requirements and Matching Adjustment Parts; and
2. (2) the proportional share as referred to in 8.2(2) of the best estimate, calculated in accordance with the Valuation, Technical Provisions, Technical Provisions ? Further Requirements and Matching Adjustment Parts for each related undertaking that is Solvency II undertaking, a third country insurance undertaking or a third country reinsurance undertaking.

13

Calculation Methods: Capital Add-Ons

13.1

The _relevant insurance group undertakings_ must make every effort to remedy the deficiencies that led to the imposition of a _capital add-on_ arising as a result of an _internal model significant risk profile deviation_ or a _significant system of governance deviation_ at the level of the group.

[Note: Art. 232, Art. 233(6) and Art. 37(3) of the _Solvency II Directive_]

13.1A

The relevant insurance group undertakings must make all reasonable efforts to remedy the residual model limitation that led to the imposition of a capital add-on arising as a result of an internal model residual deviation at the level of the group.

13.1B

A relevant insurance group undertaking must be able to, upon request by the PRA as group supervisor, submit a progress report to the PRA as group supervisor setting out the measures taken, and the progress made, to remedy the deficiencies that led to the imposition of a capital add-on arising as a result of an internal model residual deviation, an internal model significant risk profile deviation or a significant system of governance deviation at the level of the group.

13.2

The _group SCR_ prior to the imposition of the _capital add-on_ , together with the amount of the _capital add-on_ imposed at the level of the group, will constitute the _group's group SCR_.

[Note: Art. 232, Art. 233(6) and Art. 37(5) of the _Solvency II Directive_]

14

Supervision of Group Solvency for Solvency II Firms that Are Subsidiaries of an Insurance Holding Company or a Mixed Financial Holding Company

14.1

1. (1) Where _Solvency II undertakings_ in a group are _subsidiary undertakings_ of an _insurance holding company_ or a _mixed financial holding company_ , the calculation of the solvency of the group must be carried out at the level of

the _insurance holding company_ or _mixed financial holding company_ applying 7.1(2) to 12.

2. (2) For the purpose of that calculation, the _insurance holding company_ or _mixed financial holding company_ must be treated as if it were a _Solvency II undertaking_ subject to the _SCR Rules_ as regards the _SCR_ and the Own Funds Part of the _PRA_ Rulebook as regards the _own funds eligible for the SCR_ , provided that the _relevant insurance group undertakings_ remain responsible for discharging any obligations arising from the application of this sub-paragraph.

[Note: Art. 235 of the _Solvency II Directive_]

14.2

For the purposes of applying the provisions set out in 14.1, where the parent insurance holding company or mixed financial holding company has issued subordinated debt or has other eligible own funds subject to the limits set out in Own Funds 4 and 4A, Group Supervision 10.3 shall apply.

15

Groups with Centralised Risk Management

15.1

The changes to this rule are effective from 23:00 on 31/12/2020.

[Deleted.]

15.2

The changes to this rule are effective from 23:00 on 31/12/2020.

[Deleted.]

15.3

The changes to this rule are effective from 23:00 on 31/12/2020.

[Deleted.]

15.4

The changes to this rule are effective from 23:00 on 31/12/2020.

[Deleted.]

16

Risk Concentration and Intra-Group Transactions

16.1

1. (1) Where 2.1(1) or 2.1(2) applies, the relevant insurance group undertakings or any _UK holding company_ must report on a regular basis and at least annually to the _group supervisor_ any significant risk concentration at the level of the group.

2. (2) The necessary information must be submitted to the _group supervisor_ by the _relevant insurance group undertaking_ which is at the head of the group or, where the group is not headed by a _relevant insurance group undertaking_ , by the _UK holding company_ or such other _Solvency II undertaking_ in the group as the _group

supervisor_ may specify.

[Note: Art. 244 of the _Solvency II Directive_]

16.1A

For the purposes of identifying significant risk concentrations, participating Solvency II undertakings, insurance holding companies or mixed financial holding companies shall consider, at least, direct and indirect exposures of undertakings in the group to all of the following:

1. (1) individual counterparties;
2. (2) groups of individual but interconnected counterparties, for example undertakings within the same corporate group;
3. (3) specific geographical areas or industry sectors; and
4. (4) natural disasters or catastrophes.

16.2

1. (1) Where 2.1(1) or 2.1(2) applies, the _relevant insurance group undertakings_ or any _UK holding company_ must report on a regular basis, and at least annually, to the _group supervisor_ all significant intra-group transactions.
2. (2) Where an intra-group transaction falling within (1) is very significant, it must be reported to the _group supervisor_ as soon as practicable.
3. (3) The necessary information must be submitted to the _group supervisor_ by the _relevant insurance group undertaking_ which is at the head of the group or, where the group is not headed by a _Solvency II undertaking_, by the _UK holding company_ or such other _Solvency II undertaking_ in the group as the _group supervisor_ may specify.

[Note: Art. 245 of the _Solvency II Directive_]

16.3

The relevant insurance group undertakings or UK holding company must consider as significant intra-group transactions the intra-group transactions that materially influence the solvency or liquidity position of the group or one of the undertakings involved in these transactions.

16.4

For the purposes of identifying significant intra-group transactions, participating Solvency II undertakings, insurance holding companies or mixed financial holding companies shall consider at least all of the following:

1. (1) investments;
2. (2) intercompany balances, including loans, receivables and arrangements to centralise the management of assets or cash;
3. (3) guarantees and commitments such as letters of credit;
4. (4) derivative transactions;
5. (5) dividends, coupons, and other interest payments;
6. (6) reinsurance operations;
7. (7) provision of services or agreements to share costs; and
8. (8) purchase, sale or lease of assets.

17

Risk Management and Internal Control

17.1

1. (1) Where 2.1(1) or 2.1(2) applies, the following requirements apply with any necessary changes at the level of the group:

1. (1a) Conditions Governing Business 1A;
2. (a) Conditions Governing Business 2.2 to 2.6;
3. (a1) Conditions Governing Business 2A.1 to 2A.6;
4. (b) Conditions Governing Business 3;
5. (b1) Conditions Governing Business 3A;
6. (c) Conditions Governing Business 4;
7. (c1) Conditions Governing Business 4A;
8. (d) Conditions Governing Business 5;
9. (e) Conditions Governing Business 6;
10. (f) Conditions Governing Business 7;
11. (f1) Conditions Governing Business 11A to 11F;
12. (g) Fitness and Propriety 2.1 to 2.3, 4.1, 4.3 and 4.4;
13. (h) Allocation of Responsibilities 4; and
14. (i) Key Function Holder ? Notifications 2 to 6, in accordance with 17.4.

2. (2) Without prejudice to (1), the effective system of governance and reporting procedures must be implemented consistently in all the _undertakings_ included in the scope of group supervision under 2.2(1) and 2.2(2) so that the effective system of governance and reporting procedures can be controlled at the level of the group.

3. (3) Without prejudice to (1), the internal control system must include at least the following:

1. (a) adequate mechanisms as regards group solvency to identify and measure all material risks incurred and to appropriately relate _eligible own funds_ to risks; and
2. (b) sound reporting and accounting procedures to monitor and manage the intra-group transactions and the risk concentration.

17.2

1. (1) Where 2.1(1) or 2.1(2) applies, a __participating Solvency II undertaking__ that is a _firm_, or if there is none, the _UK holding company_ or the _relevant insurance group undertakings_, must undertake at the level of the group the ORSA assessment required by Conditions Governing Business 3.8 to 3.12.

2. (2) Where the calculation of the solvency at the level of the group is carried out in accordance with _method 1_, the _participating Solvency II undertaking_, the _UK holding company_ or the _relevant insurance group undertakings_ (as appropriate) must provide to the _group supervisor_ a proper understanding of the difference between the sum of the _SCR_ of all the _related Solvency II undertakings_ in the group and the consolidated _SCR_ of the group.

3. (3) Where the __participating Solvency II undertaking__, the _UK holding company_ or the _relevant insurance group undertakings_ (as appropriate) so decide, and subject to the agreement of the _group supervisor_, they may undertake any assessments required by Conditions Governing Business 3.8 to 3.12 at the level of the group and at the level of any _subsidiary undertaking_ in the group at the same time, and may produce a single document covering all the assessments to satisfy the requirement to provide an ORSA report in Conditions Governing Business 3.11 and 3.12.

4. (4) Where the group exercises the option provided in (3), it must submit the ORSA report to all supervisory authorities concerned at the same time.

5. (5) The exercise of the option provided in (3) does not exempt the _subsidiary undertakings_ concerned from the obligation to ensure that the requirements of Conditions Governing Business 3.8 to 3.12 are met.

[Note: Art. 246(1) to (4) of the _Solvency II Directive_]

17.3

Reporting 2.1 to 2.5B, 2.13 and the relevant provisions of Chapter 2A of the Reporting Part apply, with any necessary changes, to reporting information on a group to the PRA.

[Note: Art. 254(2) of the _Solvency II Directive_]

17.4

[Deleted.]

18

Group SFCR

18.1

1. (1) When 2.1(1) or 2.1(2) applies, __participating Solvency II undertaking__ that are _firms_ or, if there are none, the _relevant insurance group undertakings_ must disclose publicly, on an annual basis, a report on the solvency and financial condition at the level of the group. Reporting 3 to 6 apply with any necessary changes.

2. (2) Where a __participating Solvency II undertaking__ that is a _firm_ or the _relevant insurance group undertakings_ (as appropriate) so decide, and subject to the agreement of the _group supervisor_ , they may provide a single _SFCR_ which must comprise the following:

1. (a) the information at the level of the group which must be disclosed in accordance with (1); and
2. (b) the information for any of the subsidiaries within the group which must be individually identifiable and disclosed in accordance with Reporting 3 to 6.

[Note: Art. 256 of the _Solvency II Directive_]

19

Group Structure

19.1

When 2.1(1) or 2.1(2) applies, __participating Solvency II undertaking__ that are _firms_ or, if there are none, the _relevant insurance group undertakings_ must disclose publicly, at the level of the group, on an annual basis, the legal structure and the governance and organisational structure, including a description of all subsidiaries, material _related undertakings_ , and significant branches belonging to the group.

[Note: Art. 256a of the _Solvency II Directive_]

20

Third Countries

20.1

When 2.1(3) applies, 4 to 14, 16 to 19 and External Audit 2 to 4 apply with any necessary changes at the level of the _insurance holding company_ or _mixed financial holding company_ which does not have its head office in the _UK_ or Gibraltar, third country insurance undertaking or third country reinsurance undertaking unless:

1. (1) the third country in which that _undertaking_ has its head office is an overseas jurisdiction designated under regulation 11 in relation to regulation 14 of the IRPR regulations in respect of insurance group supervision and paragraph (3) of regulation 14 of the IRPR regulations applies.
2. (2) [deleted]

[Note: Art. 262 of the _Solvency II Directive_]

20.2

[Deleted]

20.3

The changes to this rule are effective from 23:00 on 31/12/2020.

When calculating the solvency of a group falling within 2.1(3) for the purpose of 20.1, a _relevant insurance group undertaking_ must treat the _parent undertaking_ (being an _insurance holding company_ which does not have its head office in the _UK_ or Gibraltar or a third country insurance undertaking or a third country reinsurance undertaking), solely for the purposes of that calculation, as a _UK Solvency II firm_ to which 2.1(1)(a) applies.

[Note: Art. 262 of the _Solvency II Directive_]

20.4

Where the _parent undertaking_ referred to in 2.1(3) is itself a _subsidiary undertaking_ of an _insurance holding company_ or _mixed financial holding company_ which does not have its head office in the _UK_ or Gibraltar or a third country insurance undertaking or a third country reinsurance undertaking, 20.1 applies at the level of the ultimate parent undertaking which is an insurance holding company or mixed financial holding company which does not have its head office in the UK or Gibraltar or a third country insurance undertaking or a third country reinsurance undertaking.

1. (1) [deleted]

2. (2) [deleted]

[Note: Art. 263 of the _Solvency II Directive_]

21

Mixed-Activity Insurance Holding Companies

21.1

16.2 to 16.4 apply with any necessary changes, to groups falling within 2.1(4).

[Note: Art. 265 of the Solvency II Directive]

21.2

Reporting 2.1 to 2.5B, 2.13 and the relevant provisions of Chapter 2A of the Reporting Part apply, with any necessary changes, to reporting information on a group falling within 2.1(4) to the PRA.

22

Group Operational Resilience

22.1

Rules 22.2 to 22.5 apply to any _UK Solvency II firm_ that is a member of a group for which the _PRA_ is the _group supervisor_.

22.2

Where a _firm_ is a member of a group covered by 2.1(1), 2.1(2) or, subject to 22.5, 2.1(3), the _firm_ must also comply with Operational Resilience ? Solvency II Firms 2.1 and 2.2 in relation to its _important group business services_.

22.3

Where a _firm_ is a member of a group covered by 2.1(1), 2.1(2) or, subject to 22.5, 2.1(3), with the exception of Operational Resilience ? Solvency II Firms 3.1(3), the _firm_ must ensure that the strategies, processes and systems at the level of the group of which it is a member comply with the obligations set out in Operational Resilience ? Solvency II Firms 3.

22.4

Where a _firm_ is a member of a group covered by 2.1(1), 2.1(2) or, subject to 22.5, 2.1(3) the _firm_ must ensure that the strategies, processes and systems at the level of the group of which it is a member enable the _firm_ to assess whether _important group business services_ at the level of the group could remain within the _impact tolerance_ in the event of a severe but plausible disruption to its operations.

22.5

Where a _firm_ is a member of a group covered by 2.1(3), 22.2, 22.3 and 22.4 do not apply if, the _third country_ in which the group's _parent undertaking_ has its head office is an overseas jurisdiction designated under regulation 11 in relation to regulation 14 of the IRPR regulations in respect of insurance group supervision and paragraph (3) of regulation 14 of the IRPR regulations applies.

22.6

[Deleted]